

Fed headwinds vs. AI tailwinds

BofA July Asia Fund Manager Survey

Spotlight: Our US Economics team now expects the [Fed to hike by 75bp this year \(see note\)](#), starting in Sep. FMS investor views on the implications for Asia are mixed: nearly half would maintain their Asia equity exposure following Fed hikes, a similar proportion would reduce allocations. Looking ahead to the next phase of the AI cycle, Japan (28%) and the US (28%) have overtaken Taiwan (11%) as the biggest beneficiaries. Investor optimism toward Asia ex-Japan equities improved further, reaching 89th percentile.

Macro: APAC ex-Japan growth expectations have rebounded to pre-Middle East conflict levels. China and Japan growth expectations remain sharply divergent, with Japan growth sentiment staying robust while sentiment toward China remains subdued. On Japanese monetary policy, 60% of investors surveyed expect the next BoJ rate hike in 4Q26 (Oct or Dec), broadly consistent with our Japan economist's [base case for an Oct'26 hike \(see note\)](#).

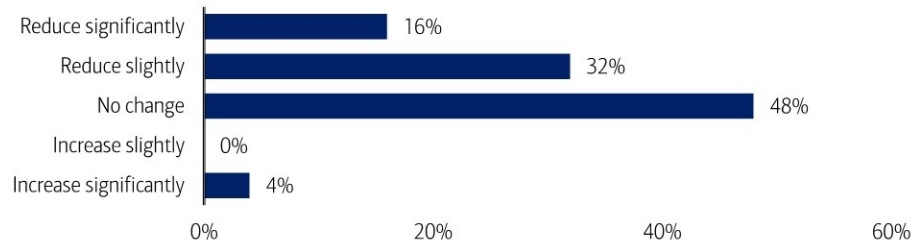
Valuations: 60% of investors surveyed believe the positive impact of AI on equities is only partially or mostly not priced in, suggesting continued scope for AI-driven upside.

Themes: Earnings continue to be the dominant driver of Japan equities, cited by 64% of investors surveyed vs. 41% in Jun (Exhibit 13). Power & Energy (28%, up from 9% in Jun) stands out as a key beneficiary within the AI value chain (Exhibit 16).

Positioning: Taiwan surpassed Japan to become the most favored market, while India and Indonesia stay at the bottom of investor preferences (Exhibit 18). Within Asia ex Japan, Tech Hardware/Semis retained its leadership position, while Industrials rose sharply to rank third (Exhibit 19). In Japan, Semis holds onto the top spot, Banks gained favor, and Tech Hardware lost some momentum vs. June (Exhibit 21).

Exhibit 1: Nearly half of investors would maintain their Asia equity exposure following Fed rate hikes, while an equal proportion would trim allocations

If the US Fed were to hike rates, how would you adjust exposure to Asia equities?



Source: BofA Asia Fund Manager Survey

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14 July 2026

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FMS: Fund Manager Survey
APAC: Asia Pacific

Notes to readers

A total of 210 panelists with \$555bn AUM participated in the July survey. 181 participants with \$484bn AUM responded to the Global FMS questions and 101 participants with \$274bn AUM responded to the Regional FMS questions.

Survey period: Jul 2 – 9, 2026

How to join the FMS panel

Investors/clients are encouraged to sign up to participate in the Survey. This can be done by contacting [Michael Hartnett](#) or your BofA sales representative.

Participants in the survey receive the full set of results for the months in which they participate.

Macro

Exhibit 2: APAC ex-Japan growth expectations have recovered to pre-Middle East conflict levels

Net % expecting a stronger Global / APAC ex-Japan economy



Source: BofA Global & Asia Fund Manager Survey

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Exhibit 3: Inflation expectations continue to ease in July, moving closer to the long-term average

Net % expecting higher inflation in Asia Pacific ex-Japan in the next 12 months



Source: BofA Asia Fund Manager Survey

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Exhibit 4: Corporate profit expectations stay well above the long-run average in July

Net % expecting better corporate profits in Asia Pacific ex-Japan in the next 12 months



Source: BofA Asia Fund Manager Survey

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Exhibit 5: Concern that APAC ex-Japan earnings estimates are too high continue to fade in July, now at 11th percentile historically

Net % deeming consensus EPS estimates for the coming year as high

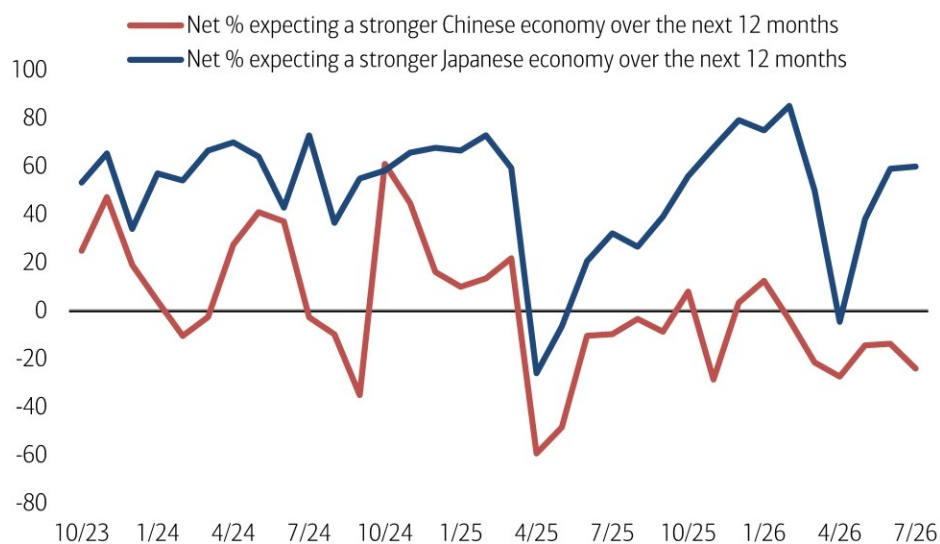


Source: BofA Asia Fund Manager Survey

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Exhibit 6: China-Japan growth expectations remain sharply bifurcated, with Japan growth sentiment remaining robust while China sentiment stays negative

Net % expecting stronger Chinese and Japanese economies in the next 12 months

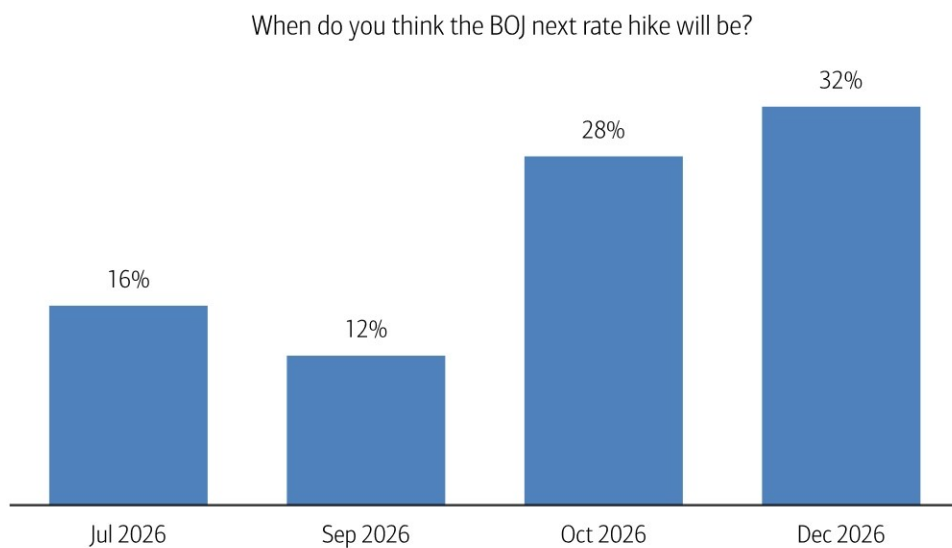


Source: BofA Asia Fund Manager Survey. Notes: Votes for 'Don't know' are not shown above.

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Exhibit 7: 60% of investors expect the next rate hike to be most likely in 4Q (Oct or Dec)

When do you think the BOJ next rate hike will be?



Source: BofA Asia Fund Manager

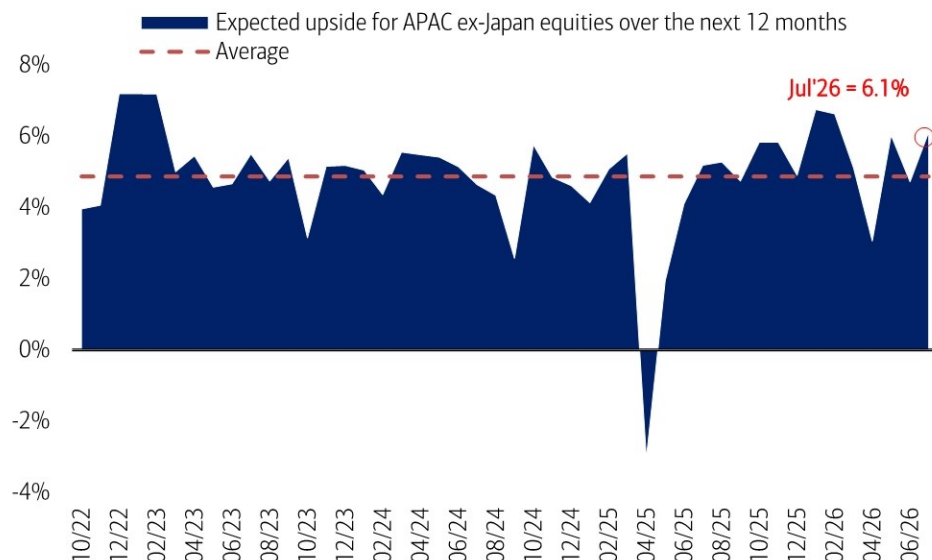
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Expected Returns and Valuations

Exhibit 8: Investor optimism toward Asia ex-Japan equities rose to 89th percentile in July

FMS views on expected upside for Asia Pac ex-Japan equities over the next 12 months

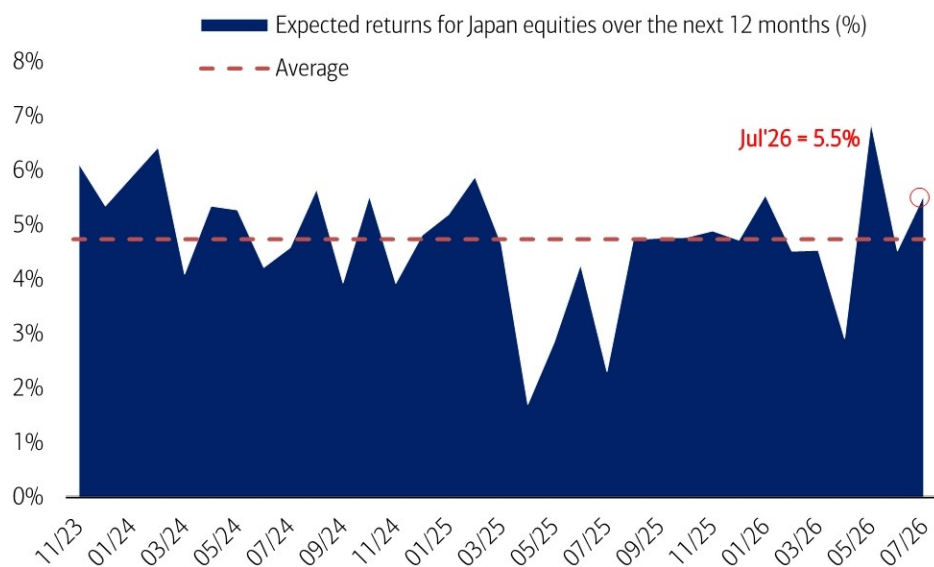


Source: BofA Asia Fund Manager Survey

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Exhibit 9: Investor optimism toward Japanese equities also improved in July

FMS views on expected upside for Japan equities over the next 12 months

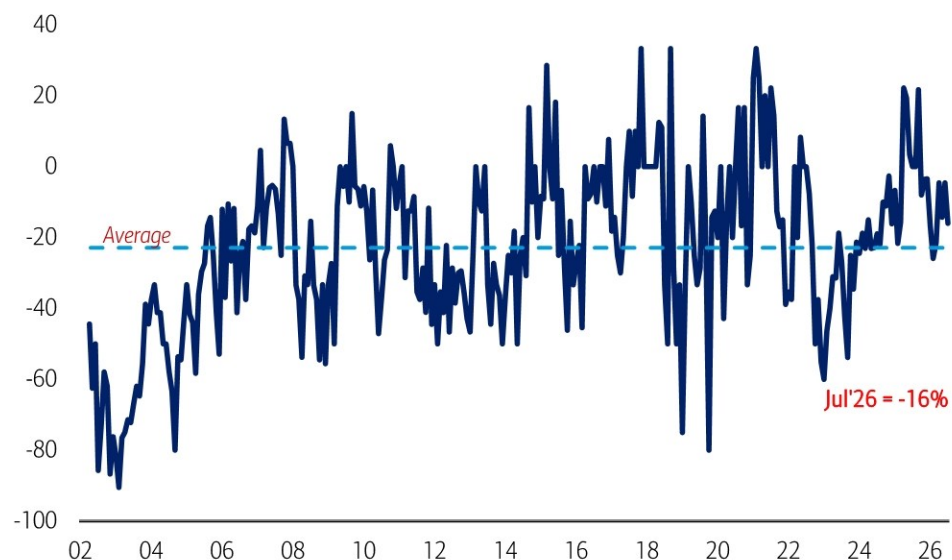


Source: BofA Asia Fund Manager Survey

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Exhibit 10: FMS investors still see APAC ex-Japan equities as slightly undervalued

Net % saying Asia Pacific ex-Japan equities are overvalued

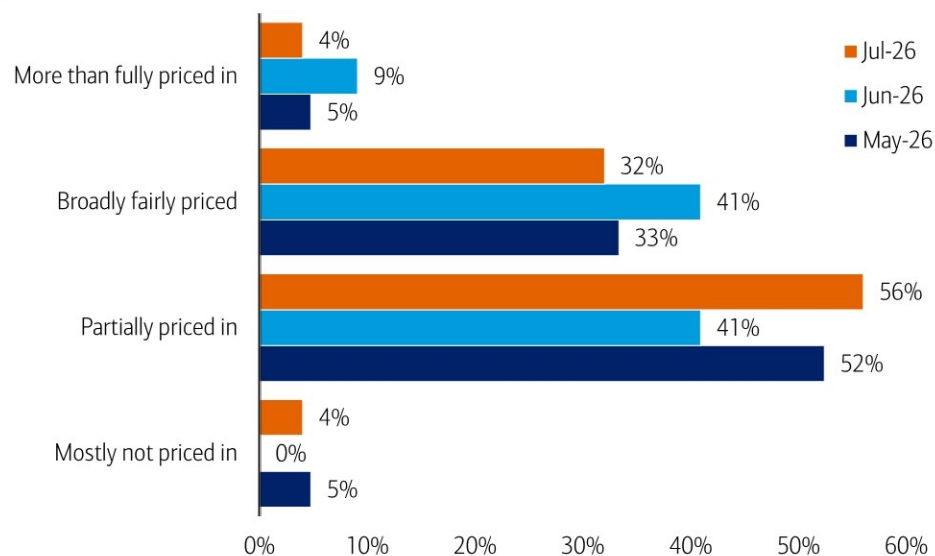


Source: BofA Asia Fund Manager Survey

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Exhibit 11: 56% of FMS investors say the positive AI impact on equities is only partially priced in

How much of the positive AI impact on equities is already reflected in the price?



Source: BofA Asia Fund Manager Survey. Note: Votes for 'Don't know' are not shown above

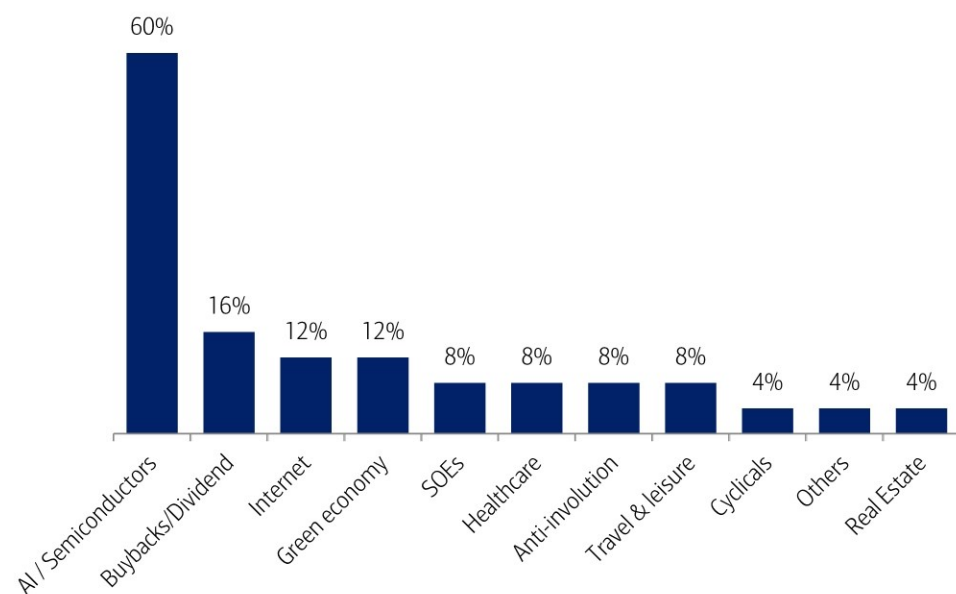
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Themes

Exhibit 12: Within China, AI/semis and buybacks/dividend remain key investor priorities

FMS views on TWO most favorite themes in China

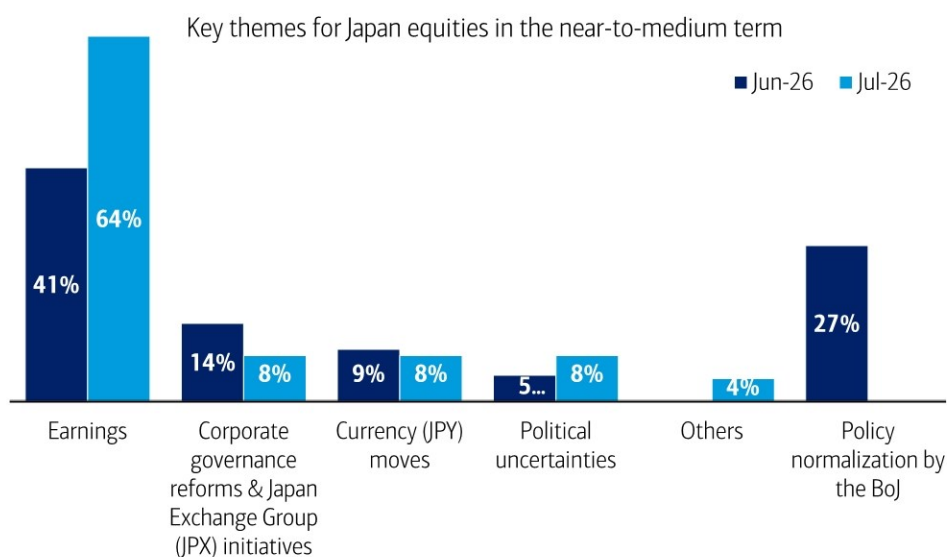


Source: BofA Asia Fund Manager Survey. Note: Votes for 'Don't know' are not shown above

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Exhibit 13: Earnings continue to be the most important driver of Japan equities

FMS views on the themes that hold the key for Japan equities in the near-to-medium term



Source: BofA Asia Fund Manager Survey. Notes: Votes for 'Don't know' are not shown above

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Exhibit 14: Investor expectations for the Korea/Taiwan semis cycle stay firmly positive in July

FMS views on the semis cycle (Korea/Taiwan exports growth) over the next 12 months

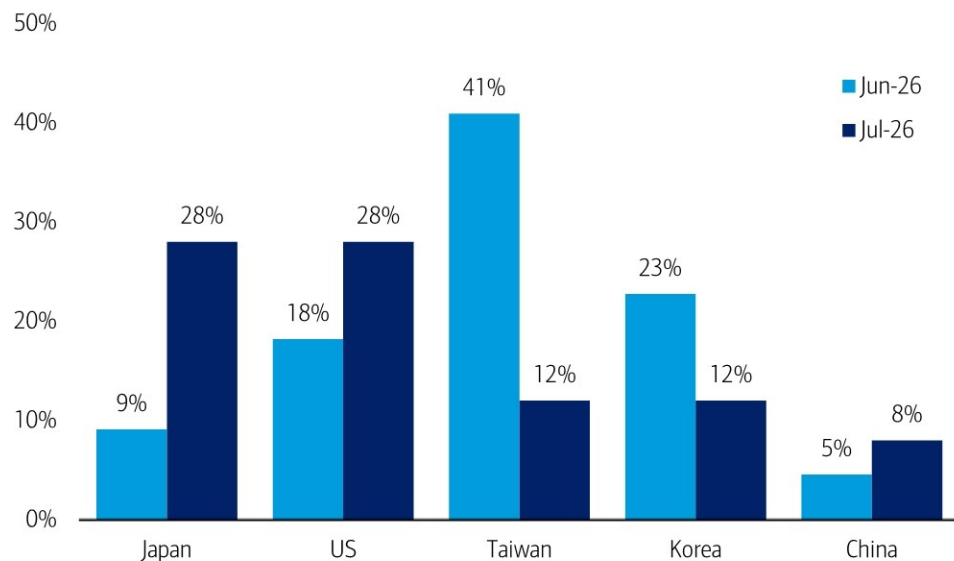


Source: BofA Asia Fund Manager Survey

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Exhibit 15: Japan and US have overtaken Taiwan as the clearest beneficiaries of the next phase of the AI cycle

Which market benefits most from the next phase of the AI cycle?



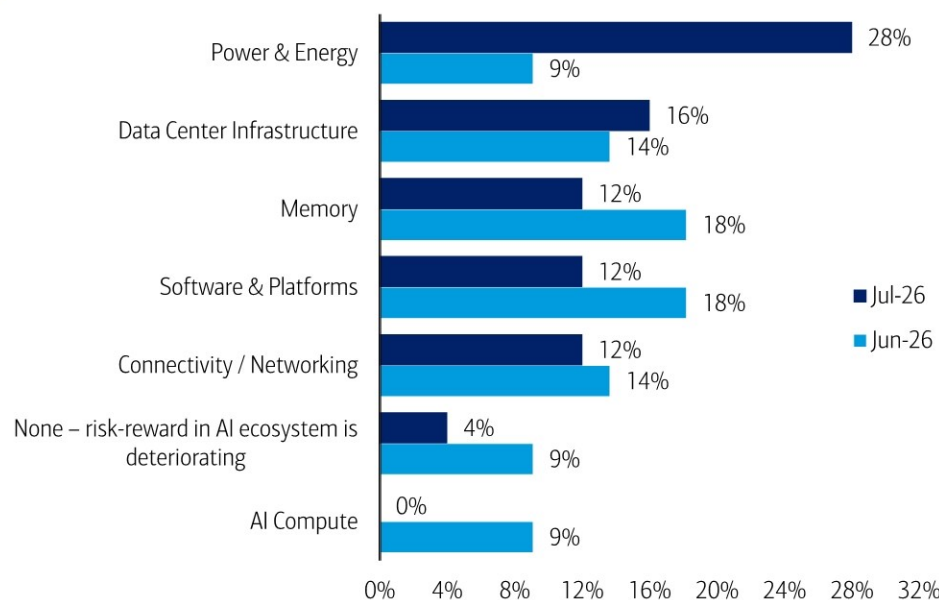
Source: BofA Asia Fund Manager Survey. Note: Votes for 'Don't know' are not shown above

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Exhibit 16: Power & Energy ranks among the most favored segments of the AI value chain

Which part of the AI value chain offers the best risk-reward over the next 12 months?

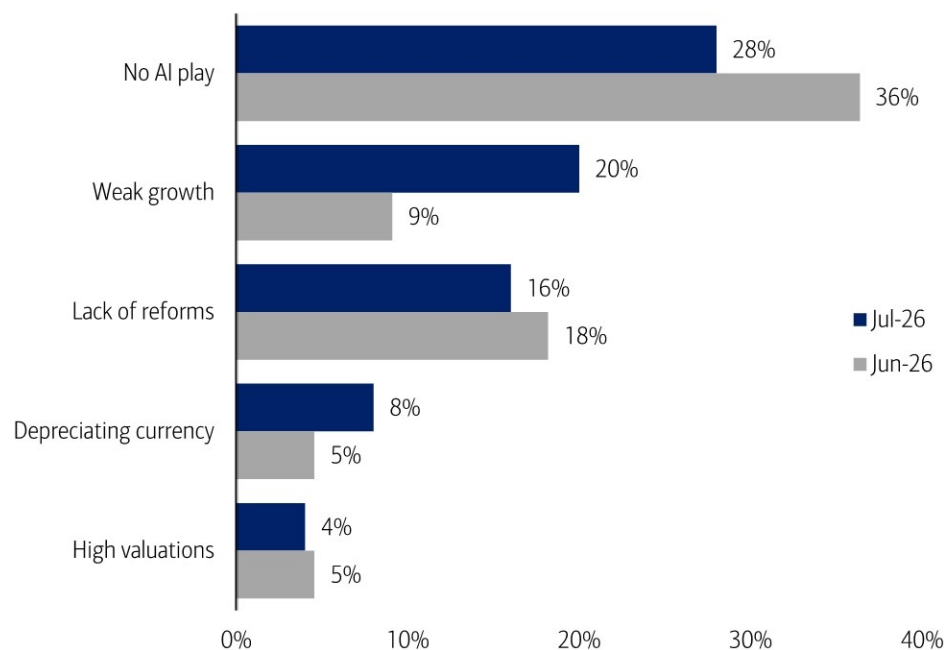


Source: BofA Asia Fund Manager Survey. Note: Votes for 'Don't know' are not shown above

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Exhibit 17: The lack of a clear AI exposure remains the key concern for Indian equities, with weak growth emerging as the next most important risk

What is your key concern for Indian market?



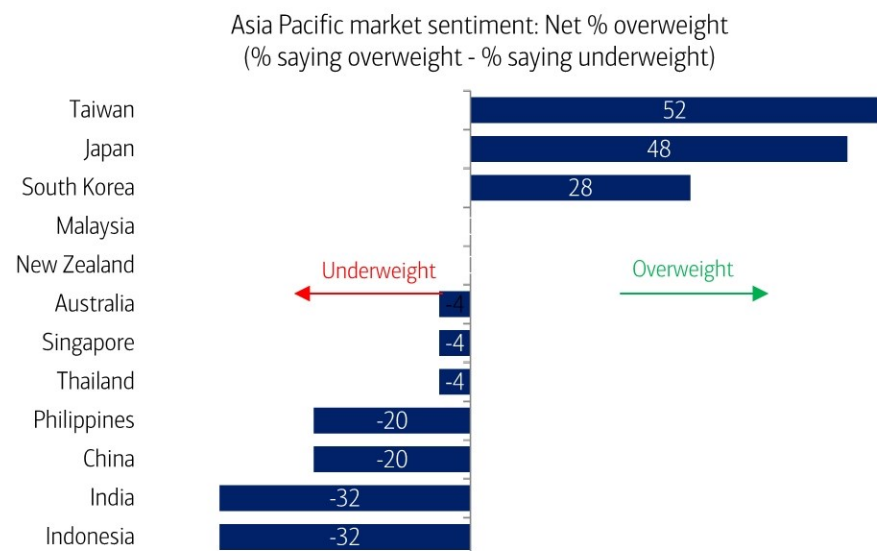
Source: BofA Asia Fund Manager Survey. Note: Votes for 'Don't know' are not shown above

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Positioning

Exhibit 18: Taiwan surpassed Japan to become the most favored market, while India and Indonesia remain the least favored

Asia Pacific market sentiment: Net % overweight

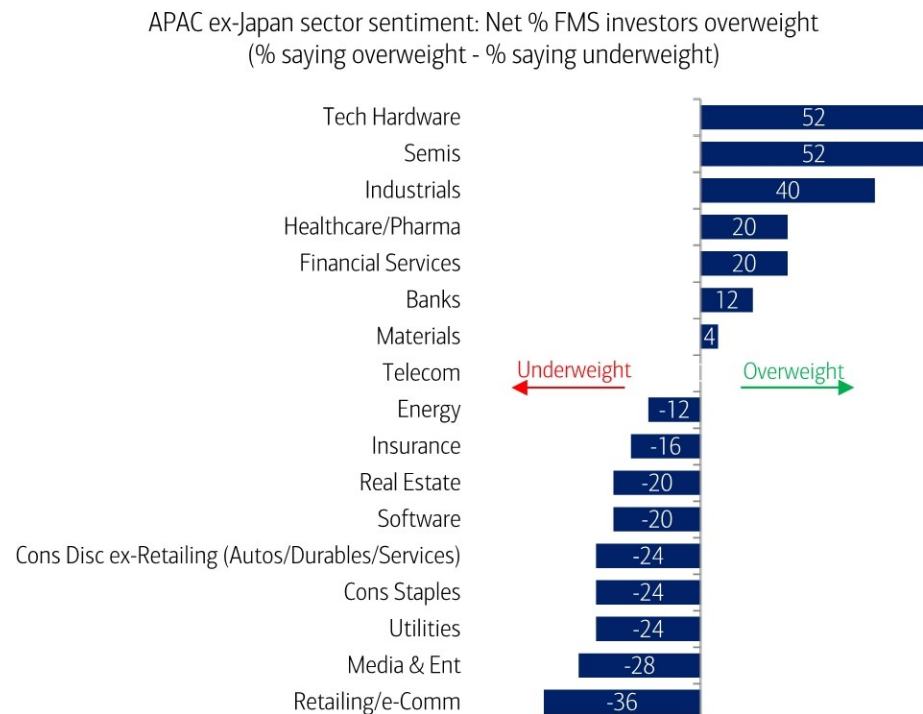


Source: BofA Asia Fund Manager Survey

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Exhibit 19: Tech Hardware/Semis retained the top spot, while Industrials climbed sharply to rank third

Asia Pacific ex-Japan sector sentiment: Net % overweight



Source: BofA Asia Fund Manager Survey

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Exhibit 20: July saw a rotation out of Software, Energy, and Retailing/e-Commerce into Industrials, Healthcare/Pharma, and Materials

Monthly change in FMS investor positioning

APAC ex-Japan sector sentiment: MoM ppt change in FMS investor positioning

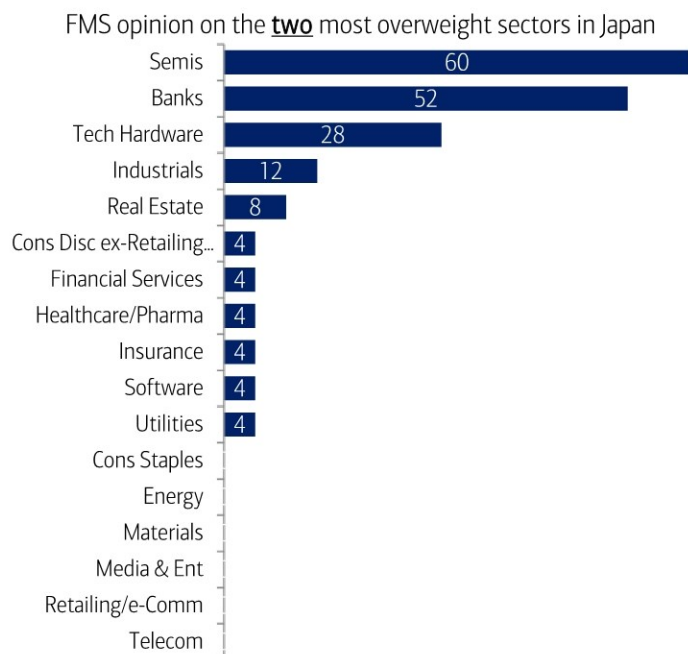


Source: BofA Asia Fund Manager Survey

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Exhibit 21: Semis remains the most preferred sector, while Banks gained favor and Tech Hardware lost some momentum vs. June

FMS opinion on the two most overweight sectors in Japan

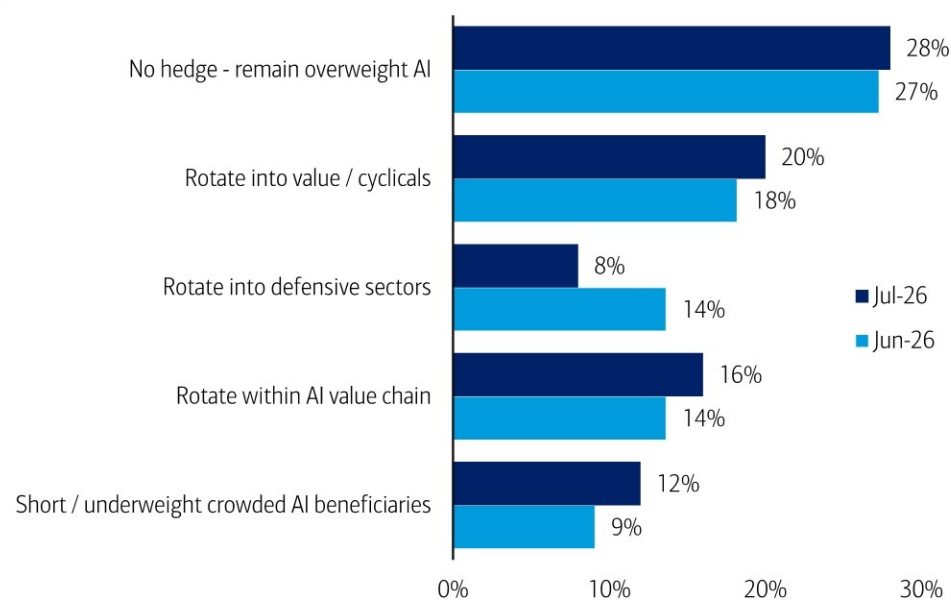


Source: BofA Asia Fund Manager Survey

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Exhibit 22: Investors are split on de-risking the AI trade, with 44% remaining unhedged and another 40% rotating into other sectors or underweighting

How are you currently hedging downside risk in the AI trade over the next 6-12 months?



Source: BofA Asia Fund Manager Survey. Notes: Votes for 'Don't know' are not shown above.

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Regional survey demographics data

Exhibit 23: Position / institution / approach of participants in the regional survey

Demographics details for regional Fund Manager Survey participants

	Jul-26	Jun-26	May-26
Structure of the panel - by position			
Chief Investment Officer	10	11	11
Asset Allocator / Strategist / Economist	17	18	14
Portfolio Manager	72	63	60
Other	10	7	7
Structure of the panel - by expertise			
Regional specialists + EM specialists only	29	26	30
Regional specialists with a global view	80	73	62
Total # of respondents to regional questions	109	99	92
Which of the following best describes the type of money you are running?			
Institutional funds (e.g. pension funds / insurance companies)	29	27	20
Hedge funds / proprietary trading desks	18	13	16
Mutual funds / unit trusts / investment trusts	54	48	45
None of the above	8	11	11
What do you estimate to be the total current value of assets under your direct control?			
Up to \$250mn	16	15	17
Around \$500mn	16	10	13
Around \$1bn	19	21	13
Around \$2.5bn	22	16	18
Around \$5bn	8	12	9
Around \$7.5bn	5	4	2
Around \$10bn or more	11	11	8
No funds under my direct control	12	10	12
Total (USD bn)	274	270	209
What best describes your investment time horizon at this moment?			
3 months or less	33	34	30
6 months	36	26	28
9 months	6	9	7
12 months or more	29	27	24
Weighted average	6.9	6.9	6.8
Don't know	5	3	3
Which region do you specialise in?			
US / North America	32	30	24
Europe / Continental Europe / Eurozone / UK	35	28	31
Asia Pacific / Asia Pacific ex Japan / Japan	25	22	21
South Africa	11	14	12
MENA (Middle East and North Africa)	0	0	0
None of the above	6	5	4

Source: BofA Fund Manager Survey

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R1}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R1} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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